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BULGARIA

Monitoring Bulgaria: A focus on public finances

Bulgaria's economy shows solid momentum, supported by domestic consumption and investment, while the external sector has been weaker. Eurozone entry brings new opportunities, but near-term attention is increasingly centred on fiscal dynamics and inflation developments



Domestic demand remains resilient in Bulgaria, but attention is increasingly shifting towards fiscal dynamics and inflation developments

Bulgaria at a glance:

- **GDP growth and outlook:** Domestic demand remains resilient, with private consumption and investment driving activity. However, net exports are weighing more noticeably on growth. We project GDP growth of 2.6% in 2026 and 2.5% in 2027.
- **Industry:** A combination of stronger external demand, better energy competitiveness and a more effective public investment execution remains key for recovery ahead.
- **Balance of payments:** The trade deficit has widened, reflecting strong imports alongside softer exports. Tourism continues to provide an important offset, with some short-term fluctuations but broadly positive medium-term prospects.
- **Inflation:** Inflation rose to 6.9 % in May before decelerating to 5.6% in June, driven by

demand and energy-related factors. We expect it to close the year at 5.0%, before easing to below 3.0% by end-2027.

- **Fiscal policy:** Fiscal balances have come under increased scrutiny. While deficits have widened beyond earlier expectations, public debt remains relatively low, providing some time for a gradual adjustment.

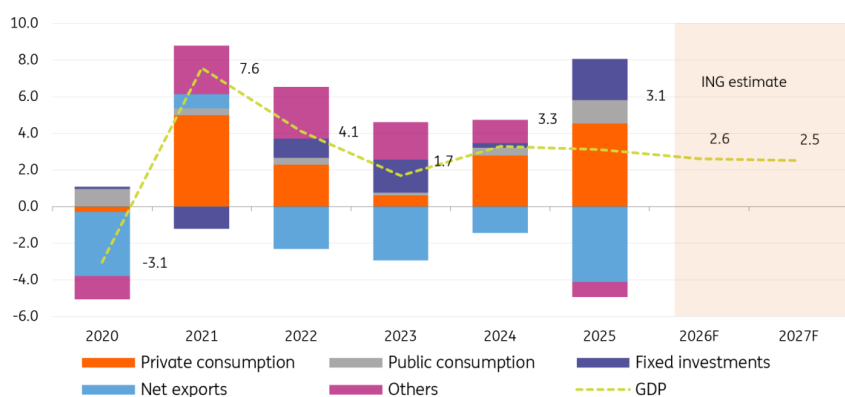
GDP growth: moderation expected but fundamentals remain robust

Annual GDP growth remained relatively strong in 2025 at **3.1%** (from **3.4%** in 2024), supported by robust domestic demand. Private consumption grew **7.7%**, while investment expanded by **11.1%**. However, this strength has also boosted imports, and in the context of weaker external demand, net exports reduced overall growth.

In the first quarter of 2026, the same trends have mostly continued, with further deterioration in the trade balance as export performance weakened while imports stayed firm.

Underlying drivers include a tight labour market and another year of robust wage increases in 2025, supporting household consumption. Fiscal policy has also played a supportive role, contributing to demand and investment activity.

GDP (YoY, %) and Components (ppt)



Looking ahead, we expect GDP growth to edge marginally lower, reaching 2.6% in 2026 and 2.5% in 2027 as the consumption cycle loses some speed. Net exports are likely to remain a drag in the near term, as the consumption momentum continues to provide tailwinds for imports. Exports and industrial production numbers could start looking better through 2026-2027 on the back of more stimulative fiscal policy across Europe, especially Germany.

Overall, the economy should continue expanding, supported by services, tourism, public investment and some euro-area integration effects, but the growth rate is unlikely to repeat

the stronger momentum seen in 2025.

On the monetary front, euro area entry remains beneficial for the economy. It has improved the funding prospects of the economy through lower reserve requirements for the banking sector; it has given Bulgaria a seat in the ECB framework and will continue to support the country's convergence story. However, the near-term macro story is no longer just about euro-driven momentum, but about preserving credibility after entry, especially through prudent fiscal management, strong execution of EU-funded investment and stable inflation.

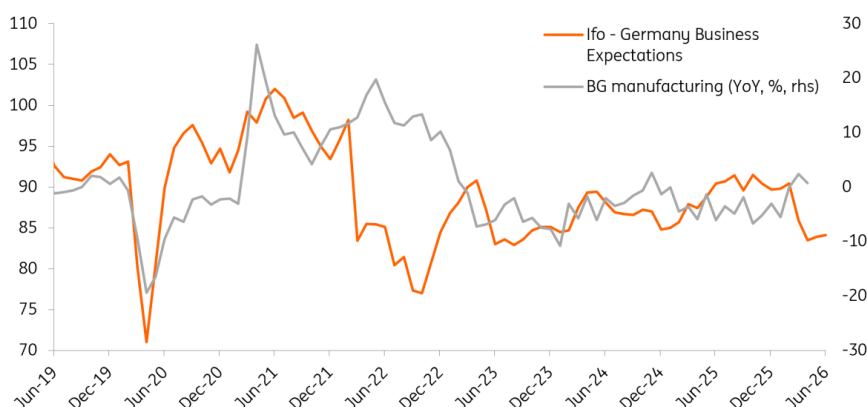
Industry: recovery is yet to be seen

The industrial picture remains lacklustre. Manufacturing activity continues to face pressure from weak external demand, especially given the still-fragile industrial cycle in key European markets. Germany remains particularly important for Bulgaria's export and manufacturing channels, while broader EU demand has not yet delivered a strong enough impulse to offset domestic cost pressures and previous production disruptions.

For a solid pick-up, industrial activity still needs a combination of stronger external demand, better energy competitiveness and efficient public investment execution.

There are some areas of potential support, including infrastructure development, transport and rail investments, energy security initiatives, defence-related production, and decarbonisation projects. The Recovery and Resilience Facility (RRF) also offers opportunities in areas such as renewable energy, digitalisation, and SME support, provided implementation remains timely and effective.

Industrial production: not in the best shape



Source: NSI, Ifo Institute, ING

Balance of payments: domestic demand driving imbalances

The external position remains relatively weak. Strong domestic demand, alongside investment-related and energy imports, continues to widen the trade deficit, while exports are constrained by the softer industrial cycle in Europe.

According to the data for January-April 2026, the latest available at the time of writing, Bulgaria's trade deficit worsened 30% in annual terms, primarily due to a worsening deficit in non-EU trade. This likely reflects a mix of commodity exposure and strong internal demand.

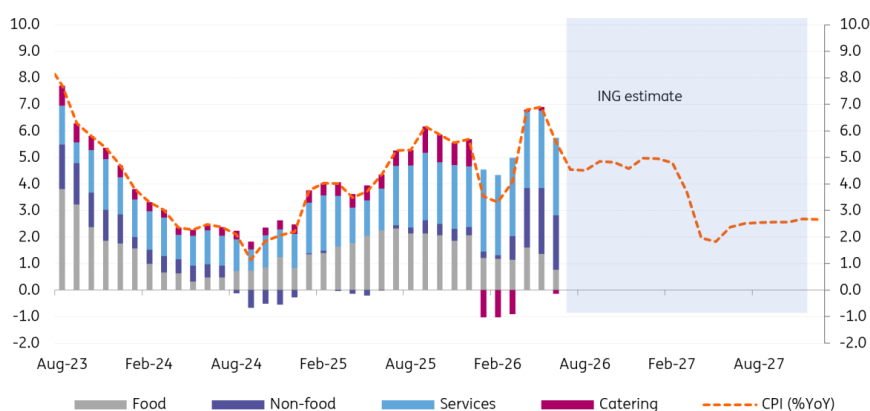
While this may keep the current account in deficit in the short term, tourism continues to serve as a key stabilising factor. Bulgaria remains a competitive destination, with both coastal and mountain tourism benefiting from diverse demand. Granted, some hiccups seem to have emerged through the early summer season on the tourism front, potentially due to the stronger price pressures experienced recently. That said, longer-term structural factors like joining both the Schengen Area and the eurozone, coupled with more year-round offerings – the growing city break scene, cultural tourism, balneology, medical tourism and corporate travel, for instance – should keep prospects constructive for the medium-term tourism story.

Concerning other balance of payments items, the capital and secondary income accounts should remain important shock absorbers for Bulgaria's external position in 2026, mainly through EU-related inflows. The recent green light of Bulgaria's fourth payment request by the European Commission, worth €1.1bn, improves the near-term outlook, although the remainder of future disbursements is uncertain. On the FDI front, data shows visible improvements compared to last year, though much of it reflects reinvested earnings and intra-group financing rather than a broad surge in new projects.

Inflation: sticky but on a downward path

Inflation picked up and remains elevated so far in 2026, reflecting both internal demand and labour market pressures as well as the recent energy shock. Some temporary price adjustments may also have been associated with the euro adoption process, particularly in services, though these are likely to be short-lived. Putting some numbers to it, inflation averaged 5.0% in the first half of 2026, after averaging 4.6% in 2025.

Inflation (YoY, %) and Contributions (ppt)



Source: NSI, ING

Fiscal: increasing attention on sustainability

The country's fiscal developments have gradually become a central focus of the macroeconomic story. The government's 2026 draft budget targets a deficit of 5.7% of GDP, well above the European Commission's 4.1% spring forecast and the EU's 3.0% threshold, with the authorities presenting this as an improvement from a no-policy-change path of a whopping 7.4% of GDP.

Nevertheless, at the time of writing, the 2026 budget situation is still ongoing, with the draft budget on its way to the Parliament vote. Current plans envisage a gradual reduction in the deficit to 3.8% in 2027 and 3.0% in 2028, though risks around these projections remain.

In this context, the possible initiation of an Excessive Deficit Procedure (EDP) by the European Commission would represent part of a broader adjustment process. While investment spending has contributed to the higher deficit, the structure of recurring expenditures, such as wages and social spending, will likely be an important factor in future consolidation efforts.

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